FUTUREPROOF FINANCIAL

Tax Discussion

Australia — Equity Preservation Mortgage

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Stakeholder Tax Treatment & Regulatory Framework

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1. Executive Summary

This document provides a comprehensive discussion of the tax treatment of the Equity Preservation Mortgage (EPM) product across all key stakeholders in **Australia**. The EPM is a structured mortgage product that provides homeowners with a guaranteed monthly income stream funded by a combination of mortgage drawdowns and a structured investment portfolio (approximately 70% S&P 500 ETFs, 30% fixed income).

The core tax principle underpinning the EPM is that **mortgage drawdowns are not income**. The homeowner receives monthly payments that are structured as loan proceeds, not assessable income. This is a well-established principle in Australia tax law. The investment portfolio is managed separately, with returns flowing through the payments waterfall to service the mortgage and protect homeowner equity.

This report covers the tax position of five stakeholder groups: (1) the Homeowner, (2) the Lender, (3) the Wholesale Funder, (4) the Investment Provider, and (5) the Broker / Referral Partner. For each stakeholder, we discuss the relevant tax treatment, reporting obligations, regulatory requirements, and key considerations.

Key Facts

Jurisdiction	Australia
Currency	AUD (A$)
Primary Regulator	Australian Prudential Regulation Authority (APRA)
Conduct Regulator	Australian Securities and Investments Commission (ASIC)
Tax Authority	Australian Taxation Office (ATO)
Company Tax Rate	25% (base rate entity) or 30% (otherwise)
GST	10%

2. Regulatory Framework

The EPM operates within the regulatory framework of Australia. Prudential supervision is provided by **Australian Prudential Regulation Authority (APRA)**, while conduct regulation falls under **Australian Securities and Investments Commission (ASIC)**. The tax administration is overseen by **Australian Taxation Office (ATO)**.

Prudential Regulator	Australian Prudential Regulation Authority (APRA)
Conduct Regulator	Australian Securities and Investments Commission (ASIC)
Tax Authority	Australian Taxation Office (ATO)
Financial Services Licensing	Australian Financial Services Licence (AFSL) required for dealing in, or providing advice about, financial products. Responsible lending obligations under National Consumer Credit Protection Act 2009.

3. Tax Environment Overview

This section provides an overview of the Australia tax environment relevant to the EPM product structure and its stakeholders.

Personal Income Tax	0% (≤$18,200), 19% ($18,201–$45,000), 32.5% ($45,001–$120,000), 37% ($120,001–$180,000), 45% (>$180,000) + 2% Medicare Levy
Company Tax	25% (base rate entity) or 30% (otherwise)
Capital Gains Tax	Included in assessable income at marginal rate. 50% discount for assets held >12 months by individuals. No discount for companies.
GST	10%
Withholding Tax	10% on interest paid to non-residents (may be reduced by DTA). Unfranked dividend WHT 30% (reduced by DTA to 15% for treaty countries).
Stamp Duty / Transfer Tax	State-based stamp duty on property transfers. Rates vary by state (e.g., NSW: 1.25%–7%, VIC: 1.4%–6.5%). Some first-home buyer concessions.
Mortgage Interest Deductibility	Interest on loans for investment purposes is generally deductible. Interest on owner-occupied home mortgages is NOT deductible (unlike US). Negative gearing: investment property losses can offset salary income.
Imputation / Franking	Franking (imputation) credit system: company tax paid on profits is passed through as a credit to shareholders on dividends. Fully franked dividends carry a credit equal to the company tax paid. Refundable for individuals/super funds.
Reporting Obligations	Annual tax return (due 31 October for individuals, 28 February for companies). Business Activity Statements (BAS) quarterly for GST. Transfer pricing documentation for related-party transactions.

Structural Tax Provisions

Fund / Trust Regime	Managed Investment Trust (MIT) regime — fund-level taxation with flow-through treatment. MIT withholding rate 15% for treaty countries on fund payments.
Thin Capitalisation	Thin capitalisation rules apply: debt-to-equity ratio max 1.5:1 (60% debt). Interest deductions denied on excess debt.
Transfer Pricing	Arm's length principle per OECD guidelines. Country-by-country reporting for large groups (>A$1bn global revenue). Contemporaneous documentation required.
Anti-Avoidance	Part IVA general anti-avoidance rule. Multinational Anti-Avoidance Law (MAAL) for significant global entities. Diverted Profits Tax (DPT) at 40%.

Retirement / Pension System Implications

EPM annuity income is NOT super — it is mortgage proceeds. Not subject to super contribution caps. Does not affect Age Pension asset/income tests (as mortgage liability offsets property value). Centrelink treatment: mortgage balance reduces assessable assets.

4. Homeowner Tax Treatment

The homeowner is the primary beneficiary of the EPM structure. They receive guaranteed monthly income while retaining full ownership of their property. The fundamental tax principle is that mortgage drawdowns are NOT assessable income in Australia.

- EPM annuity payments are structured as mortgage drawdowns, NOT assessable income
- No income tax is payable on monthly EPM distributions received
- Property remains in homeowner's name — no CGT event occurs on establishment
- If property is principal place of residence (PPOR), CGT main residence exemption continues to apply
- Stamp duty is NOT triggered as no property transfer occurs
- Interest component of the mortgage is not deductible (PPOR, non-investment purpose)
- Centrelink/Age Pension: mortgage liability offsets property value in asset test
- Upon death, property passes to estate per will — standard CGT rules for inherited property apply

5. Lender Tax Treatment

The lender originates and manages the EPM mortgage. Interest income on the mortgage is the primary revenue stream. The lender must comply with Australia financial services licensing requirements and tax reporting obligations.

- Interest income received on EPM mortgages is assessable income under s6-5 ITAA 1997
- Establishment and origination fees are assessable income when received
- Loan origination costs may be deductible over the life of the loan (s40-880)
- Bad debt deductions available under s25-35 for loans written off as bad
- Provisioning for expected credit losses (ECL) under AASB 9 — tax deduction only when debt becomes bad
- PAYG withholding obligations on employee salaries; BAS reporting quarterly
- Must hold Australian Credit Licence (ACL) under NCCP Act
- Transfer pricing compliance required for related-party funding arrangements

6. Wholesale Funder Tax Treatment

Wholesale funders provide the capital that backs the EPM lending programme. They earn returns through the funding margin (the spread between their cost of funds and the rate charged to the lender). Cross-border tax considerations are particularly relevant for this stakeholder group.

- Interest income from lending to the EPM lender is assessable income
- If non-resident: 10% interest WHT under ITA s128B (may be reduced by DTA)
- Thin capitalisation rules apply to the funding structure — debt-to-equity ratio max 1.5:1
- Transfer pricing arm's length requirement on inter-company interest rates
- Securitisation vehicles: special purpose trust (SPT) tax treatment available
- Managed Investment Trust (MIT) withholding rate 15% for treaty-country investors
- Cross-border funding: consider BEPS Action 4 (interest deduction limitation) and Action 2 (hybrid mismatches)
- GST-free: financial supply of lending is an input-taxed supply (no GST on interest)

7. Investment Provider Tax Treatment

The investment provider manages the structured investment portfolio that underpins the EPM. The portfolio targets approximately 70% allocation to S&P 500 ETFs and 30% to fixed income instruments. Returns from this portfolio flow through the payments waterfall to service mortgage interest and protect homeowner equity.

- Portfolio composition: ~70% S&P; 500 ETFs, ~30% fixed income (per EPM investment mandate)
- Fund taxed as a trust (MIT) — income flows through to beneficiaries (the EPM structure)
- Australian-source dividends: franking credits flow through to fund investors
- Foreign-source income (US ETFs): FITO (Foreign Income Tax Offset) available for US withholding tax paid
- US ETFs: US-source dividends subject to 15% US WHT (under Australia-US DTA)
- Capital gains on disposal of ETF units: 50% CGT discount if held >12 months (trust level)
- Interest income from fixed income: assessable at marginal/fund rate
- Surplus distribution through payments waterfall follows trust distribution provisions (Div 6)
- GST: fund management fees are a financial supply — input tax credits reduced (75% RITC for financial supply acquisitions)

8. Broker / Referral Partner Tax Treatment

Brokers and referral partners earn commission income for originating EPM mortgages. They must be appropriately licensed and comply with Australia regulatory requirements for mortgage advice and intermediation.

- Upfront commission income is assessable in the year received (s6-5 ITAA 1997)
- Trail commissions are assessable when received or when an entitlement to receive arises
- GST: financial supply — commission on credit products is input-taxed (no GST charged)
- ABN required; BAS lodgement if GST-registered (>$75k turnover)
- Broker must hold Australian Credit Licence (ACL) or be an authorised credit representative
- Professional indemnity insurance costs deductible
- Best interests duty under NCCP Act — impacts commission structures
- Clawback provisions: if commission is clawed back, adjustment to assessable income in year of clawback

9. Cross-Border Considerations

The EPM structure may involve cross-border elements, particularly where wholesale funding or investment management is provided by entities outside Australia. Key cross-border tax considerations include:

- Withholding tax on interest payments to non-resident wholesale funders: 10% on interest paid to non-residents (may be reduced by DTA). Unfranked dividend WHT 30% (reduced by DTA to 15% for treaty countries).
- Double Tax Agreement (DTA) network — treaty relief may reduce or eliminate WHT
- Transfer pricing documentation requirements for related-party cross-border transactions
- Thin capitalisation rules limiting interest deductions: Thin capitalisation rules apply: debt-to-equity ratio max 1.5:1 (60% debt). Interest deductions denied on excess debt.
- Permanent establishment (PE) risk — structuring to avoid inadvertent PE creation
- BEPS (Base Erosion and Profit Shifting) compliance — CbCR, transfer pricing, anti-hybrid rules
- Controlled Foreign Corporation (CFC) rules — may apply to offshore subsidiaries
- Foreign tax credit / offset mechanisms to prevent double taxation

10. Anti-Avoidance & Compliance

The EPM structure is designed to operate within the ordinary commercial framework of Australia tax law. It does not rely on any aggressive tax planning, artificial arrangements, or tax avoidance strategies. The structure is transparent, documented, and commercially motivated.

Nevertheless, all participants should be aware of the anti-avoidance framework:

- General anti-avoidance rule: Part IVA general anti-avoidance rule. Multinational Anti-Avoidance Law (MAAL) for significant global entities. Diverted Profits Tax (DPT) at 40%.
- Transfer pricing: Arm's length principle per OECD guidelines. Country-by-country reporting for large groups (>A$1bn global revenue). Contemporaneous documentation required.
- Substance requirements — all entities must have genuine economic substance in their jurisdiction
- Commercial rationale — all arrangements must have a bona fide commercial purpose beyond tax
- Reporting: Annual tax return (due 31 October for individuals, 28 February for companies). Business Activity Statements (BAS) quarterly for GST. Transfer pricing documentation for related-party transactions.
- Penalties: significant penalties apply for non-compliance, including promoter penalties for tax schemes

11. Disclaimer

This document has been prepared by Futureproof Financial Group Limited for general information and discussion purposes only. It does not constitute tax advice, legal advice, financial advice, or any other form of professional advice.

Tax treatment depends on the individual circumstances of each stakeholder and may be subject to change in future. Tax law is complex and subject to interpretation by courts and tax authorities. The information in this document reflects the law as understood at the date of publication (March 2025) and may not reflect subsequent changes.

All stakeholders are strongly advised to seek independent professional tax advice specific to their individual circumstances before making any decisions based on the information contained in this document.

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